

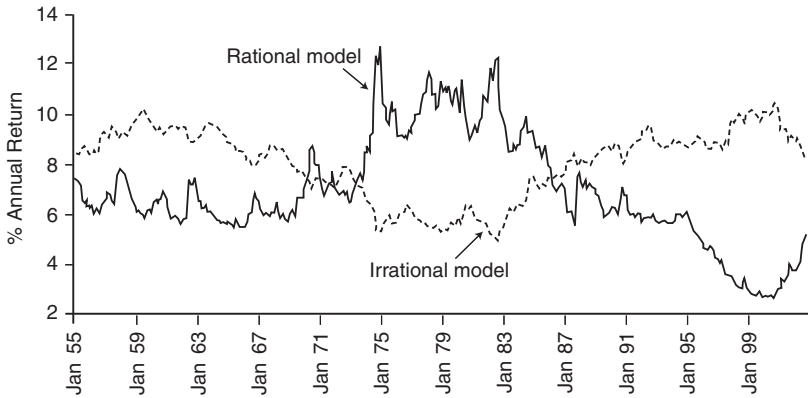


FIGURE 16.1 Irrational Exuberance versus Irrational Pessimism: Expected Annual Returns in the United States (%)

Recency Bias Test

Note that while most of the tests in this book are primarily intended to be administered by practitioners to their clients, they can, in general, be self-administered. This test, however, does require that someone other than the respondent administer the rest (i.e., it contains free recall memory exercises, etc.).

- Question 1:** Suppose you are asked to select a mutual fund for your portfolio based only on the fund's performance record. What is your most likely course of action?
- a. I will look at the 1- to 3-year record of the fund to see how the fund has done recently.

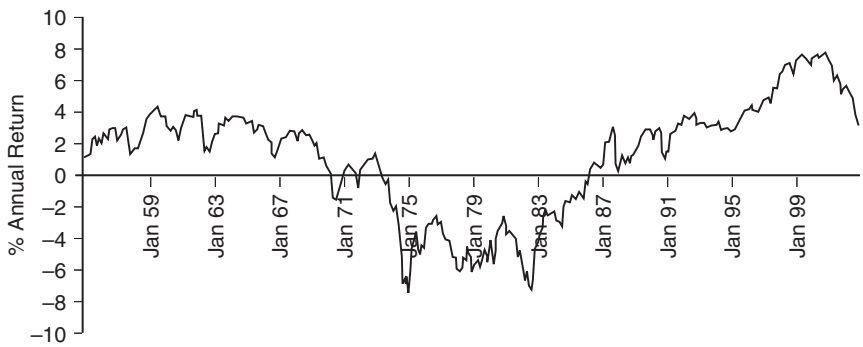


FIGURE 16.2 Scope for Disappointment: Irrational Model Minus Rational Model